21CHCV00695 21CHCV00695

County: los-angeles

Division: Civil Law and Motion

Department: F43

Hearing date: 2026-07-31

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=CHA%2CF43%2C07%2F31%2F2026

Source SHA-256: 553d6550736d8ef3f7fe74b7b26cc5b95953d69921acb2e102217a288be440fa

Case Number: 21CHCV00695 Hearing Date: July 31, 2026 Dept: F43

Dept. F43

Hearing Date: 07-31-26

Case # 21CHCV00695, Restoration Masters, Inc. v. Amihere

Trial Date: N/A

MOTION FOR JUDGMENT NOTWITHSTANDING THE VERDICT OR FOR A NEW TRIAL

MOVING PARTY: Cross-Defendant Restoration Masters, Inc.

RESPONDING PARTY: Cross-Complainant David Amihere

RELIEF REQUESTED

Order granting Restoration Masters, Inc. judgment notwithstanding the verdict in part by striking $72,780.84 in compounding “inflation” the jury added to its damages findings for Out of Pocket and Future Economic Loss damages, $7,500 in “inability to borrow” damages and $2,000 in “loss of use” damages.

In the alternative, order granting a new trial on the issue of damages, conditionally denying a new trial upon Amihere’s consent to a remittitur reducing the damages award to the legally supportable sum of $212,958.16.

RULING: Motion for judgment notwithstanding the verdict is granted in part as to the Future Economic Loss damages, the Loss of Use damages, and the Inability to Borrow damages and denied in part as to the Out-of-Pocket damages. Motion for new trial is moot.

SUMMARY OF ACTION

On September 9, 2021, Restoration Masters, Inc. filed a complaint against David Alfred Amihere, alleging Mr. Amihere breached a contract for remediation, repair, and related construction services. Restoration Masters claimed Amihere failed to pay for services and materials under the contract. Mr. Amihere filed an answer on November 18, 2021, and Restoration Masters dismissed the complaint without prejudice on August 2, 2023.

On November 18, 2021, Mr. Amihere filed a cross-complaint against Restoration Masters, asserting Restoration Masters was entitled only to "Pay by Insurance Settlement" and only on the "Day When the Insurance Pay" in exchange for the work promised under the November 2019 contract. The cross-complaint asserted eleven causes of action: (1) breach of contract; (2) breach of the implied covenant of good faith and fair dealing; (3) negligence; (4) intentional misrepresentation; (5) negligent misrepresentation; (6) breach of fiduciary duty; (7) declaratory relief; (8) violation of Penal Code, § 496; (9) negligent infliction of emotional distress; (10) intentional infliction of emotional distress; and (11) cancellation of a mechanic's lien. Restoration Masters filed an answer on January 4, 2022.

The parties proceeded with jury trial on Mr. Amihere's first, second, third, fourth, and fifth causes of action. On May 29, 2026, the jury reached a special verdict on all five causes of action in Mr. Amihere's favor and awarded him $295,239 in damages ($53,989 for Past Economic Loss and $241,250 for Future Economic Loss) and prejudgment interest of ten percent per annum. (5/29/2026 Minute Order at pp. 4-5.) The jury found no offset and did not award punitive damages. The court entered a judgment of $295,239 on June 3, 2026. (6/03/2026 Judgment on Special Verdict.) Notice of the entry of judgment was electronically served on Restoration Masters that same day.

On June 17, 2026, Restoration Masters filed the instant motion for the court to grant judgment notwithstanding the verdict in part by striking $72,780.84 in compounding "inflation" the jury added to its damages findings for Out of Pocket and Future Economic Loss (Cost of Repair), $7,500 awarded for Inability to Borrow, and $2,000 for Loss of Use. Restoration Masters contends the damages award is not supported by substantial evidence or by any jury instruction. In the alternative, Restoration Masters moves for a new trial on the issue of damages, on conditionally denying a new trial upon Mr. Amihere's consent to a remittitur reducing the damages award to the legally supportable sum of $212,958.16.

On July 20, 2026, Amihere filed an opposition. Amihere contends Restoration's reliance on the declaration of juror Edward Tovar is improper attack pursuant to Evidence Code section 1150. Regardless, the substantial evidence supports the verdict.

On July 24, 2026, Restoration Masters filed a reply, asserting the Opposition fails to identify an instruction, witness, or exhibit authorizing the jury to compound its own damages findings upward by five percent per year.

REQUESTS FOR JUDICIAL NOTICE

Restoration Masters, Inc. asks the court to take judicial notice of the jury instructions issued by the court in this matter pursuant to Evidence Code section 452.

The court grants the request and takes judicial notice of the jury instructions issued in this matter pursuant to Evidence Code section 452, subdivision (d). (Jury Instructions filed May 29, 2026.)

ANALYSIS

A. Judgment Notwithstanding the Verdict

"The court, before the expiration of its power to rule on a motion for a new trial . . . on motion of a party against whom a verdict has been rendered, shall render judgment in favor of the aggrieved party notwithstanding the verdict whenever a motion for a directed verdict for the aggrieved party should have been granted had a previous motion been made." (Code Civ. Proc., § 629, subd. (a).) "The trial judge's power to grant a judgment notwithstanding the verdict is identical to his power to grant a directed verdict." (Hauter v. Zogarts (1975) 14 Cal.3d 104, 110 [citing Jones v. Evans (1970) 4 Cal.App.3d 115, 122; Gordon v. Strawther Enterprises, Inc. (1969) 273 Cal.App.2d 504, 515].) "The trial judge cannot weigh the evidence, or judge the credibility of witnesses. If the evidence is conflicting or if several reasonable inferences may be drawn, the motion for judgment notwithstanding the verdict should be denied." (Id. [citing McCown v. Spencer (1970) 8 Cal.App.3d 216, 226; Hozz v. Felder (1959) 167 Cal.App.2d 197, 200].)

¿

"A motion for [JNOV] may be granted only if it appears from the evidence, viewed in the light most favorable to the party securing the verdict, that there is no substantial evidence in support." (Contreras v. Green Thumb Produce, Inc. (2025) 116 Cal. App.5th 1251, 1259, citations omitted.) "If there is any substantial evidence, or reasonable inferences to be drawn therefrom, in support of the verdict, the motion should be denied.'" (Hauter, supra, 14 Cal.3d at p. 110 [quoting Brandenburg v. Pac. Gas & Elec. Co. (1946) 28 Cal.2d 282, 284]; see Reynolds v. Willson (1958) 51 Cal.2d 94, 99 [as with nonsuit, a JNOV "nonsuit may be granted only where, disregarding conflicting evidence on behalf of the defendants and giving to plaintiff's evidence all the value to which it is legally entitled, therein indulging in every legitimate inference which may be drawn from that evidence, the result is a determination that there is no evidence of sufficient substantiality to support a verdict in favor of the plaintiff."].)

1. The Tovar Declaration is inadmissible.

Restoration Masters presents the declaration of jury foreman Edward Tovar to demonstrate the jury engaged in misconduct by taking the out-of-pocket figure of $36,489 and enlarging it to the $44,489 and taking a base midpoint repair cost of $176,469.15 and enlarging it to $241,250. Mr. Tovar claims the jury calculated the out-of-pocket amount of $44,489 by using $36,489 for damages and increasing that amount by five percent per year for inflation. (Declaration of Edward Tovar ¶ 3.) The Future Economic Loss of $241,250 was calculated using the midpoint of expert Stephen Campos's cost of repair ($157,847) and expert MC Consultants' cost of repair ($195,091.31) and increasing that amount by five percent per year for inflation. (Id. ¶ 4.)

Mr. Amihere asserts the Tovar declaration is inadmissible because the declaration explains how jurors reasoned through the evidence and arrived at particular damage figures rather than identify "any external information, outside influence, improper communication, or objectively verifiable misconduct."

"Upon an inquiry as to the validity of a verdict, any otherwise admissible evidence may be received as to statements made, or conduct, conditions, or events occurring, either within or without the jury room, of such a character as is likely to have influenced the verdict improperly. No evidence is admissible to show the effect of such statement, conduct, condition, or event upon a juror either in influencing him to assent to or dissent from the verdict or concerning the mental processes by which it was determined." (Evid. Code, § 1150, subd. (a).)

Juror declarations describing how jurors calculated damages are generally inadmissible because they impermissibly reveal the subjective mental processes of deliberating jurors. (Maxwell v. Powers (1994) 22 Cal.App.4th 1596, 1604-1605, fn. 3 [affidavits explaining jurors' collective mental process for calculating damages are inadmissible]; Fergus v. Songer (2007) 150 Cal.App.4th 552, 568-569, fn. 5; Mesecher v. County of San Diego (1992) 9 Cal.App.4th 1677, 1682-1685; Garfoot v. Avila (1989) 213 Cal.App.3d 1205, 1212-1213.) "The only improper influences that may be proved under section 1150 to impeach a verdict, therefore, those open to sight, hearing, and the other senses and thus subject to corroboration." (People v. Hutchinson (1969) 71 Cal.2d 342, 342.)

However, such affidavits are allowed where jurors present objective facts which may impeach a verdict. (People v. Hutchinson, supra, 71 Cal.2d at p. 350.) Objective facts include a bailiff's improper statements to the jurors or a juror privately considering outside information. (Krouse v. Graham (1977) 19 Cal.3d 59, 80-82 [discussing jurors discussing attorney fees and specifically agreeing to increase verdicts to include such fees].) Juror affidavits are also allowed where a juror statement amounts to misconduct. (Maxwell v. Powers, supra, 22 Cal.App.4th at p. 1605.) "Juror misconduct occurs when an 'overt event is a direct violation of the oaths, duties, and admonitions imposed on actual or prospective jurors[.]'" (People v. Alvarez

(2025) 18 Cal.5th 387, 434.) The misconduct must involve intentional acts showing the jury agreed to disregard proper legal standards. (Shepard-Branom v. Diamond (2019) 39 Cal.App.5th Supp. 1, 12.) However, where the alleged misconduct arises from the way in which the jury interpreted and applied the instructions — rather than from an outside influence brought into the courtroom — such evidence is inadmissible. (Maxwell v. Powers, supra, 22 Cal.App.4th at p. 1605 [affidavit attempting to show how jurors arrived at damages figures that were on the verdict form].)

Because the Tovar Declaration states the mental process by which the entire jury calculated damages, including the basis of the calculation, without stating some objective fact or juror misconduct, the court finds the declaration discusses jury internal mental processes. Therefore, the declaration is inadmissible.

2. The substantial evidence does not directly support the amount awarded for Future Economic Loss “Cost of Repairs.”

The jury awarded Mr. Amihere Future Economic Damages of $241,250 for the cost to repair Mr. Amihere’s property.

Restoration Masters challenges the amount as unsupported by substantial evidence based on the inadmissible Tovar declaration and a misapplication of the contingency risk and escalation fees in the experts’ calculation of costs of repair. During trial, Restoration Masters’ expert Stephen Campos calculated the cost of repair using the same scope as Amihere’s expert MC Consultants. (Pritchard Decl. ¶ 11.) Mr. Campos testified the cost of repair was $157,847 and MC Consultants testified the cost of repair was $195,091.31. (Id. ¶ 11.) According to Restoration Masters, the cost of repair damages cannot exceed either of these amounts.

In opposition, Mr. Amihere presents copies of the trial transcript for MC Consultants’ testimony concerning the calculation of the costs of repair for $195,091.31. (Declaration of Robert Ruhle ¶ 3, Exh. 1 at 119:12-124:4.) The consultant explained that on certain repair jobs like the one at issue in this matter the estimated cost of repair includes an additional percentage based on the “base” amount to account for contingency risks and escalation of labor and material costs over time due to inflation. (Ruhle Decl., Exh. 1 at 123:15-124:4.) Mr. Amihere also presents a copy of Trial Exhibit 26 which demonstrates the breakdown of the estimated repair costs, which includes a contingency of five percent and an escalation of two-and-half percent. (Ruhle Decl., Exh. 2.) Trial Exhibit 42 reflects expert Stephen Campos’ breakdown of the calculation of the costs of repair for $157,847.22. (Ruhle Decl., Exh. 3.) Mr. Campos’ calculation includes the same contingency and escalation percentages.

“[T]he cost of repairing will not provide the proper measure of damages if it exceeds the extent of the actual injury, or . . . if it exceeds the value of the property.” (Pacific Gas & Elec. Co. v. San Mateo County (1965) 233 Cal.App.2d 268, 274.) Any repair cost damages award be grounded in the evidence presented at trial. (Armitage v. Decker (1990) 218 Cal.App.3d 887, 905-906.)

The court finds that the Trial Exhibits and expert testimony do not support the $241,250 Future Economic Damages award because the award exceeds the amount supported by the evidence presented at trial. Nor do the jury instructions direct or authorize jury to increase the jury award beyond the calculations presented by the experts: “To determine whether the cost of repairing the harm is reasonable, you must decide if there is a reasonable relationship between the cost of repair and the harm caused by Restoration Master Inc.’s conduct. You must consider the expense and time involved to restore the property to its original condition compared to the value of the property in restoring the Property.” (Jury Instructions at p. 50 [CACI No. 3903F].)

Viewed in a light most favorable to Mr. Amihere, the substantial evidence does not support the more the over $40,000 increase over the $195,091.31 amount.

Therefore, the court grants Restoration Masters’ motion for judgment notwithstanding the verdict as to the Future Economic Damages “Cost of Repair.”

The court reduces the Future Economic Loss damages amount to the average of the cost of repair calculations presented by the experts: $176,469.26.

3. Although Restoration Masters waived its right to object to the inclusion of the Loss of Use damages on the special verdict form, the substantial evidence does not support the award because the jury had no jury instruction explaining how to calculate any Loss of Use damages.

Restoration Masters contends the court should strike the $2,000 Loss of Use damages because during a May 27, 2026, conference on jury instructions, the court ruled that Loss of Use was “out” and that the loss-of-use instruction was “inapplicable to this situation.” (Pritchard Decl. ¶ 5, Exh. 1 at 92:24-93:23.) Furthermore, no competent evidence supports the $2,000 award.

In opposition, Mr. Amihere asserts Restoration Masters waived any objection to the jury’s Loss of Use award when the verdict form was submitted before jury deliberations began. According to Mr. Amihere, a party may not remain silent, allow a verdict form to go to the jury, and then complain after an adverse verdict is returned. Mr. Amihere cites no legal authority to support this contention.

Even still, “[f]ailure to object to a verdict before the discharge of a jury and to request clarification or further deliberation precludes a party from later questioning the validity of that verdict if the alleged defect was apparent at the time the verdict was rendered and could have been corrected.” (Keener v. Jeld-Wen, Inc. (2009) 46 Cal.4th 247, 263-264 [quoting Henrioulle v. Marin Ventures, Inc. (1978) 20 Cal.3d 512, 521].) This principle has been consistently applied in the context of special verdict forms. (See Zagami, Inc. v. James A. Crone, Inc. (2008) 160 Cal.App.4th 1083, 1093-1094 [failing to timely object to special verdict form risk waiver].)

Here, Restoration Masters forfeited its objection to the inclusion of the “Loss of Use” line on the special verdict form by failing to object before jury deliberations and at the time the special verdict was rendered. A review of the transcript from the jury instructions conference indicates the court removed Jury Instruction CACI No. 3903G for Loss of Use because Mr. Amihere had already been paid by the insurance company for the loss of use of his home. (Pritchard Decl. ¶ 5, Exh. 1 at 93:2-5, 93:20-23.) The court clarified instruction No. 3903G refers to the “reasonable cost to rent property when [Mr. Amihere] could not use his own property” and noted Mr. Amihere had “loss of use” listed as items of economic damage in instruction number 3903 (discussing the smoke damage issue). Because the court announced the removal of instruction number 3903G and the loss of use line item appeared on the face of the special verdict form before jury deliberations began, Restoration Masters was on notice of the defect both before and at the time the verdict was entered. Restoration Masters presumably reviewed and implicitly accepted a verdict form that still contained a “Loss of Use” line.

Regardless, the substantial evidence does not support the $2,000 “loss of use” damages award. During trial, Mr. Amihere testified that while he was trying to take care of the smoke problem he stayed in hotels for almost two weeks and paid $2,326.06 for hotel rooms. (Ruhle Decl., Exh. 4 at 137:22-138:13.) Although Mr. Amihere testified about the hotel fees, the jury had no basis for calculating the fees without any jury instruction for doing so. Even if the $2,000 award was based on the hotel fees, the only other place where the amount could be included is the Out-of-Pocket Expenses award ($44,489). Neither Restoration Masters nor Mr. Amihere clarify whether the $2,000 was included as part of the Out-of-Pocket Expenses.

Therefore, the court grants Restoration Masters’ motion for judgment notwithstanding the verdict as to the $2,000 Loss of Use amount, and strikes the $2,000 from the damages award.

4. Restoration Masters presents no admissible evidence demonstrating the Out of Pocket Expenses award is not supported by substantial evidence.

Restoration Masters contends that the five percent annual inflation rate included in the Out of Pocket Expenses award is not supported by jury instructions, witness testimony, or any other evidence.

In opposition, Mr. Amihere asserts the five percent annual interest is supported by expert testimony and Trial Exhibits applying a five percent contingency risk and a two-and-a-half percent escalation fee to the cost of labor and materials in order to account for inflation. (Opposition at p. 6:16-27; Ruhle Decl., Exhs. 1, 2, 3.)

Without the Tovar declaration, Restoration Masters cannot meet its evidentiary burden on this issue.

Therefore, the court denies Restoration Masters' motion for judgment notwithstanding the verdict as to the Out of Pocket Expenses award.

5. The Inability to Borrow award is not supported by substantial evidence.

Restoration Masters contends the $7,500 "inability to borrow" award should be stricken because the substantial evidence does not support the award. Mr. Amihere sought damages for inability to borrow but the court excluded the only documentary proof of the damages, a bank letter known as Trial Exhibit 32. (Pritchard Decl. ¶ 6.) Mr. Amihere represented that the letter denied or conditioned a loan on Mr. Amihere paying Restoration Masters. Although Mr. Amihere testified he sought a home-equity line of credit, he never provided a quantification of damages or any expert testimony on the damages associated with his inability to borrow funds.

In opposition, Mr. Amihere presents his testimony that after Restoration Masters failed to properly repair the house, Restoration placed a mechanics lien on his property which caused him to need an attorney and to experience financial difficulties. (Ruhle Decl., Exh. 4 at 141:25-142:24, 143:6-24.)

The substantial evidence does not directly support the $7,500 award, and the jury instructions did not direct the jury on how to calculate the amount. Although the court excluded the bank letter, Mr. Amihere's testified that he applied for a home equity loan which was declined and that he was approved for another loan on the condition that he pay the $107,000 owed to Restoration Masters. (Ruhle Decl., Exh. 4 at 142:19-24, 143:6-9.) In order to pay the lien and his attorney fees, Mr. Amihere borrowed $60,000 through a personal loan and $50,000 from his retirement. (Ruhle Decl., Exh. 4 at 143:16-17; Pritchard Decl., Exh. 1 at 101:10-19.) However, these funds were used to pay the mechanic's lien and Mr. Amihere's attorney. Mr. Amihere does not state the amount he attempted to borrow for the home equity loan or the other loan that was conditioned on his payment of the mechanic's lien. Without this information, the substantial evidence does not support the $7,500 award.

Therefore, the court grants Restoration Masters' motion for judgment notwithstanding the verdict as to the Inability to Borrow damages and strikes $7,500 from the damages award.

Therefore, Restoration Masters' motion for judgment notwithstanding the verdict is granted in part as to the Future Economic Loss damages, the Loss of Use damages, and the Inability to Borrow damages. The motion is denied in part as to the Out of Pocket damages.

The motion for a new trial is moot.

CONCLUSION and ORDER

Restoration Masters' motion for judgment notwithstanding the verdict is granted in part as to the Future Economic Loss damages, the Loss of Use damages, and the Inability to Borrow damages. The motion is denied in part as to the Out of Pocket damages.

The court amends the damages award as follows: Loss of Use damages are reduced to $0.00; Inability to Borrow Money damages are reduced to $0.00; and Future Economic Loss damages for Cost of Repair are reduced to $176,469.26.

The revised damages amount is: $220,958.26

Motion for a new trial is moot.

Restoration Masters, Inc. to give notice.

Dept. F43

Hearing Date: 07-31-26

Case # 21CHCV00695, Restoration

Masters, Inc. v. Amihere

Trial Date: N/A

MOTION FOR ATTORNEY

FEES AND COSTS

MOVING PARTY: Cross-Complainant David Amihere

RESPONDING PARTY: Cross-Defendant Restoration Masters, Inc.

RELIEF REQUESTED

Order awarding Mr. Amihere $466,489.16 in

attorney fees: $68,966.16 for his prior

counsel, Kerendian & Associates, Inc.; and $397,523 for his current counsel

Orland Law Group, APC. Mr. Amihere also

requests a multiplier between 1.4 and 2.0 be applied to the attorney fees.

Order awarding Mr. Amihere costs pursuant to

his memorandum of costs.

RULING: Motion for attorney fees is continued.

SUMMARY OF ACTION

This action arises from issues concerning a contract to repair fire damage to a home.

On September 9, 2021, Restoration Masters, Inc. filed a complaint against David Alfred Amihere concerning breach of a construction contract for repair services, asserting Mr. Amihere failed to pay for services and materials. Mr. Amihere filed an answer on November 18, 2021, and Restoration Masters dismissed the complaint on August 2, 2023.

Also on November 18, 2021, Mr. Amihere filed a cross-complaint against Restoration Masters, Inc., asserting eleven causes of action, including breach of contract, breach of the implied covenant of good faith and fair dealing, negligence, intentional misrepresentation, and negligent misrepresentation. Mr. Amihere asserted in part that Restoration Masters negligently performed its obligations under the construction contract and wrongfully recorded a mechanic's lien against his property for payment of services which Restoration Masters had already received through insurance payments.

Restoration Masters filed an answer on January 4, 2022.

The case went to trial Mr. Amihere's causes of action for breach of contract, breach of the implied covenant of good faith and fair dealing, negligence, intentional misrepresentation, and negligent misrepresentation, with Mr. Amihere dismissing the other causes of action. The jury entered a special verdict for Mr. Amihere on all five causes of action.

On June 10, 2026, Mr. Amihere filed the instant motion for $466,489.16 in attorney fees incurred in this matter. Mr. Amihere claims he is the prevailing party because the jury award in this matter exceeded Restoration Masters' $250,000 Section 998 Offer to Compromise. Mr. Amihere claims that pursuant to Civil Code section 3344, he is entitled to recover attorney fees under the contractual agreement in this action. Mr. Amihere also seeks $49,090.34 in costs.

On July 17, 2026, Restoration Masters filed an opposition, asserting the motion is premature as the court's ruling on its motion for judgment notwithstanding the verdict may reduce the verdict below the operative Section 998 Offer. As such, there may be no prevailing party.

Mr. Amihere improperly identifies Civil Code section 3344 as the basis for attorney fees, but this provision was never pleaded. Regardless, the contractual fee clause was never triggered because it only reaches litigation arising from the Owner's failure to pay, and Mr. Amihere does not allege any such claims. Restoration Masters alleged "failure to pay" claims but dismissed the complaint. Therefore, under Civil Code section 1717(b)(2), there is no prevailing party on a contract claim that is voluntarily dismissed, thus barring Mr. Amihere's request for attorney fees. Even if some fees were theoretically recoverable, the motion should be denied because Amihere achieved only limited success in this litigation and did not proportion his fee request accordingly.

On July 24, 2026, Mr. Amihere filed a reply.

ANALYSIS

A. Motion for Attorney Fees pursuant to Civil Code section 1717

Mr. Amihere filed his motion pursuant to Civil Code section 1717 and Code of Civil Procedure section 1032.

A prevailing party is entitled to recover its attorneys' fees when authorized by contract, statute, or law. (See Code Civ. Proc., § 1033.5, subd. (a)(10); Civ. Code § 1717, subd. (a).) "In any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney's fees in addition to other costs.” (Civ. Code, §

1717, subd. (a).) “Reasonable attorney’s

fees shall be fixed by the court, and shall be an element of the costs of

suit.” (Id.)

“The court, upon notice and motion by a party, shall

determine who is the party prevailing on the contract for purposes of [Section

1717], whether or not the suit proceeds to final judgment. Except as provided

in paragraph (2), the party prevailing on the contract shall be the party

who recovered a greater relief in the action on the contract. The court may also determine that there is no

party prevailing on the contract for purposes of this section.” (Civ. Code, § 1717, subd. (b)(1).) “Where an action has been voluntarily

dismissed or dismissed pursuant to a settlement of the case, there shall be no

prevailing party for purposes of this section.”

(Civ. Code, § 1717, subd. (b)(2).)

Here, the dismissed complaint and the cross-complaint

were based in part in a home improvement construction contract.

B. Cross-Complainant

Amihere is the prevailing party on first, second, third, fourth, and fifth

causes of action and may recover attorney fees incurred for all five causes of

action.

Mr. Amihere contends he is the prevailing party as the party with a net monetary recovery. (Code Civ. Proc., § 1032, subd. (a)(4).) Here, the jury entered a special verdict for Mr. Amihere on his contract and tort claims. Based on the court's judgment notwithstanding the verdict ruling, Mr. Amihere was awarded $220,958.26 in economic damages. "[T]he party prevailing on the contract shall be the party who recovered a greater relief in the action on the contract." (Civ. Code, § 1717, subd. (b)(1); see also Code Civ. Proc., § 1032, subd. (a)(4) ["'Prevailing party' includes the party with a net monetary recovery[.]"].) A court may determine whether there is a prevailing party "by examining the terms of the contract at issue, including any contractual definition of the term 'prevailing party' and any contractual provision governing payment of attorney fees in the event of dismissal." (Jackson v. Homeowners Ass'n Monte Vista Estates-East (2001) 93 Cal.App.4th 773, 784 [quoting Santisas v. Goodin (1998) 17 Cal.4th 599, 622].) Mr. Amihere's motion fails to reference the specific contractual provision which authorizes an award of attorney fees and costs, but the court on its own reviews the contract attached to the Cross-Complaint.

Paragraph 17 of the contract states: “Attorneys and Expert Fees. If the parties become involved in arbitration or litigation arising solely from Owner’s failure to pay for services, material or labor furnished, the court or tribunal in such arbitration or litigation shall award reasonable costs/expenses of arbitration and litigation, including expert witness fees and attorneys’ fees to the prevailing party.” (Cross-Compl., Exh. 1 at p. 5, ¶ 17; see also Declaration of Peter K. Pritchard, Exh. 4.)

The contract identifies Mr. Amihere as the “Owner.” (Cross-Compl., Exh. 1 at p. 1.)

As phrased, the fee provision indicates attorney fees may be awarded in matters arising only from Mr. Amihere’s failure to pay for services and materials rather than other issues such as Restoration Masters’ failure to perform its obligations or its intentional or negligent performance of its obligations.

Mr. Amihere insists he is entitled to attorneys’ fees under the contract and Section 1717 because Section 1717 is guided by equitable principles, including mutuality of remedy and insists it would be inequitable to deny attorney fees to one who successfully defends, simply because the initiating party filed a meritless case.

(Citing Rainier National Bank v. Bodily (1991) 232 Cal. App. 3d

83.) Furthermore, Restoration Masters'

complaint did arise from Mr. Amihere's supposed failure to pay

Restoration. (Reply at pp. 3:18-4:9.)

The court finds Mr. Amihere is the prevailing party on

his five causes of action because he received monetary relief on his claims and

Restoration Masters received no relief.

However, Section 1717 and the fee provision only allow Mr. Amihere to

collect attorney fees for the contracted-based causes of action in his

cross-complaint .

1. Mr.

Amihere is not the prevailing party on Restoration Masters' complaint because

the complaint was voluntarily dismissed.

Section 1717(b)(2)'s voluntary dismissal bar precludes

any award of attorney fees on Restoration Masters' complaint because the

complaint was voluntarily dismissed.

(Civ. Code, § 1717 (b)(2) ["Where an action has been voluntarily

dismissed or dismissed pursuant to a settlement of the case, there shall be no

prevailing party for purposes of this section."].) This bar overrides and nullifies conflicting

contractual provisions, including provisions that expressly allow recovery of

attorney fees in the event of voluntary dismissal. (Santisas v. Goodin (1998) 17 Cal.4th

599, 617.) Thus, Mr. Amihere cannot recover any attorney fees related to litigating Restoration Masters' complaint.

2. Mr. Amihere is the prevailing party who is entitled to attorney fees on his first, second, third, fourth, and fifth causes of action because the tortious claims are based on issues common to all causes of action.

Section 1717's reciprocity-mutuality principle also expands the scope of attorney fee provisions to apply to all contract-based claims unless (1) each contracting party was represented by counsel in the negotiation and execution of the contract and the (2) the fact of representation is specified in the contract itself. (Andrade v. Western Riverside Council of Gov'ts (2024) 99 Cal.App.5th 1020, 1026-1029.) If the contract does not specify that both parties were represented by counsel, the expansion rule applies automatically, and any limitation of the fee provision to specific claims is overridden by statute. (Reyes v. Beneficial State Bank (2022) 76 Cal.App.5th 596, 616-618.)

Here, the contract includes no language about the parties being represented by counsel when negotiating the contract. Furthermore, the basis of Mr. Amihere's breach of contract claim falls within the scope of the fee provision because he alleged that he did pay Restoration Masters through insurance payments. Therefore, the fee provision applies to Mr.

Amihere's first cause of action (breach of contract) and second cause of action (breach of implied of the covenant of good faith and fair dealing).

As phrased, the fee provision itself is too narrow to cover tort claims in Mr. Amihere's cross-complaint. Section 1717 determines which party is entitled to attorney fees on contract claims only. (Excess Electronixx v. Heger Realty Corp. (1998) 64 Cal.App.4th 698, 708.) "As to tort claims, the question of whether to award attorneys' fees turns on the language of the contractual attorneys' fee provision, i.e., whether the party seeking fees has 'prevailed' within the meaning of the provision and whether the type of claim is within the scope of the provision." (Ibid.) The contract's fee provision limits recovery to litigation arising "solely" from Mr. Amihere's failure to pay Restoration Masters for services and materials. But the litigation that proceeded to trial as to the cross-complaint arose from Restoration Masters contractual breaches (performing deficient and defective services), negligent performance of its contractual duties, and intentional and negligent misrepresentations that it would perform services in exchange for only insurance company payments. For Section 1717 fees, Mr. Amihere must show both that the action is "on a contract" and that the contract claim falls within the scope of the contractual fee provision. Because Section 1717 does not make fee provisions reciprocal for tort claims and Mr. Amihere's tort claims do not arise solely from Mr. Amihere's failure to pay for Restoration Masters' services, Mr. Amihere cannot recover attorney fees for his third, fourth, and fifth causes of action based solely on the contract provision.

However, Mr. Amihere may recover attorney fees for his negligence, negligent misrepresentation, and intentional misrepresentation claims because they are based on the same common issues underlying Mr. Amihere's contractual claims.

The cross-complaint alleged intentional misrepresentation and negligent misrepresentation causes of action against Restoration Masters. (Cross-Compl., ¶¶ 33-54.) Mr. Amihere's declarations and billing statements do not segregate hours billed for the contract-based claims versus the tort-based claims.

In deciding the lodestar amount, the court must determine whether it can segregate the work counsel performed on causes of action for which the moving party is entitled to fees from those the moving party is not. (See Graciano v. Robinson Ford Sales, Inc. (2006) 144 Cal.App.4th 140, 157 [citing Akins v. Enterprise Rent-A-Car Co. (2000) 79 Cal.App.4th 1127, 1133].) "Where a cause of action based on the contract providing for attorney's fees is joined with other causes of action beyond the contract, the prevailing party may recover attorney's fees under Section 1717 only as they relate to the contract action." (Reynolds Metals Co. v. Alperson (1979) 25 Cal.3d 124, 129.) "Conversely, plaintiff's joinder of causes of action should not dilute its right to attorney's fees. Attorney's fees need not be apportioned when incurred for representation on an issue common to both a cause of action in which fees are proper and one in which they are not allowed. All expenses incurred with respect to the [issues common to all causes of action] qualify for award." (Ibid.) Moreover, "[w]hen the time spent on successful and unsuccessful claims cannot be easily segregated, a negative multiplier can be applied to account for that partial success." (Graciano v. Robinson Ford Sales, Inc. (2006) 144 Cal.App.4th 140, 157 [quoting Sokolow v. County of San Mateo (1989) 213 Cal.App.3d 231, 250].)

Here, the common alleged issue concerning the contractual claims and negligence claims is that Restoration Masters agreed to provide a high standard of care and workmanship in performing its obligations under the construction contract in exchange for being paid in insurance payments. In forming the contract, Restoration Masters' representative made such representations.

Restoration Masters' representations were false because they later claimed no payment was received, even though they had received insurance payments, Restoration recorded mechanic's liens against Mr. Amihere's property,

and Restoration negligently performed its repair obligations under the contract. As a result, Mr. Amihere entered the contract

and suffered damages.

Because Mr. Amihere prevailed on all five causes of

action, Mr. Amihere is entitled to attorney fees for the first, second, third,

fourth, and fifth causes of action in the cross-complaint.

Because the causes of action are factually intertwined,

the court does not apply a negative multiplier to reduce the hours billed.

C. Attorney

Fee Request

1. Hourly Rates

Mr. Amihere seeks hourly rates ranging from $325 to $950. Former counsel Shab D. Kerendian requests hourly rates of $325, $425, $595,

and $750. Current counsel of record, Orland

Law Group seeks $950 for attorney James Orland, $550 for associate attorney

Robert Ruhle, and $300 for paralegals. Mr.

Amihere supports his request with declarations, billing statements, and by

referencing the Laffey Matrix.

(Declaration of Shab D. Kerendian, Exh. B; Declaration of James J.

Orland, Exh. A; Declaration of Robert Ruhle ¶¶ 2-9.)

Restoration Masters opposes Mr. Orland's $950 hourly rate as unsupported by the Laffey Matrix and Mr. Ruhle's $550 hourly rate as unsupported for an attorney who was admitted to the California Bar in 2021. Restoration provides no opposing evidence to challenge the rates.

"The reasonable hourly rate is that prevailing in the community for similar work." (PLCM Group v. Drexler (2000) 22 Cal.4th 1084, 1095.) The moving party bears the initial burden of establishing the prevailing market "through its own affidavits." (MBNA Am. Bank, N.A. v. Gorman (2006) 147 Cal.App.4th Supp. 1, 13.) Once the moving party presents competent evidence of prevailing rates, the burden shifts to the opposing party. The opposing party may present rulings which concern hourly rates for comparable work from the relevant legal market. (Bronshteyn v. Dept. of Consumer Affairs (2025) 114 Cal.App.5th 537, 543, 546-547; Baer v. Tedder (2025) 115 Cal.App.5th 1139, 1160-1162.) The court is not bound by prior fee determinations. The court must engage in an objective analysis "to determine the prevailing rate in the community for comparable professional legal services[.]" (Graciano v. Robinson Ford Sales, Inc. (2006) 144 Cal.App.4th 140, 156, citation omitted.) The court may "consider the attorney's skill as reflected in the quality of the work, as well as the attorney's reputation and status." (MBNA Am. Bank, N.A., supra, 147 Cal.App.4th Supp. at p. 13.)

Based on counsel’s supporting declarations, counsel’s

experience and qualifications, the Laffey Matrix, and counsel taking this case

on contingency, the court finds the attorney hourly rates are reasonable. However, the court does not approve the

hourly rate or hours billed for the individual identified as “TNT” in Mr.

Kerendian’s billing statement because the supporting declaration is silent

concerning this individual’s name, title, qualification, or experience.

Kerendian & Associates, Inc.

Attorney Name

Requested Rate

Approved Rate

Shab Kerendian

$595 (Mar. 2021)

$750 (Jan. 2023)

$595 (Mar. 2021)

$750 (Jan. 2023)

TNT

$325 (Mar. 2021)

$425 (Oct. 2022)

None

Orland Law Group

Attorney Name

Requested Rate

Approved Rate

James Orland

$950

$950

Robert Ruhle

$550

$550

Paralegal Name

Requested Rate

Approved Rate

Jill Fabian

$300

$300

Leigh Ann Chiasson

$300

$300

Rita Bailey

$300

$300

Logan Geoffrey Mann

$300

$300

Zoe Petillo

$300

$300

2. Billing Entries

A verified fee bill is prima facie evidence that the services listed were necessarily incurred. (Hadley v. Krepel (1985) 167 Cal.App.3d 677, 682.) If a fee request is opposed, "[g]eneral arguments that fees claimed are excessive, duplicative, or unrelated do not suffice." (Premier Med. Mgmt. Sys. v. Cal. Ins. Guarantee Ass'n (2008) 163 Cal.App.4th 550, 564.) Once an objection to the fees has been raised, then plaintiff's counsel bears the burden of showing that the fees were reasonably necessary, and the court has the discretion to reduce fees awarded. (En Palm, LLC v Teitler Family Trust (2008) 162 Cal.App.4th 770, 775.)

Mr. Amihere presents billing statements for his former and current counsel.

In determining the reasonableness of fees, courts look to the factors from Church of Scientology v. Wollersheim (1996) 42 Cal.App.4th 628, disapproved on other grounds by Equilon Enters. v. Consumer Cause, Inc. (2002) 29 Cal.4th 53, 68 fn.5.

The factors from Wollersheim are (1) the amount of money involved in the litigation; (2) the nature of the litigation and its difficulty and the intricacies and importance of the litigation; (3) the skill required and employed in handling the litigation, the necessity for skilled legal training and ability in trying the case, and counsel's education and experience in the particular type of work involved; (4) the attention given to the case; (5) the success of the attorneys efforts; and (6) the time consumed by the litigation. (Id.)

In opposition, Restoration Masters takes issue with block billing and Mr. Amihere's failure to apportion the fees between contract claims, tort claims, and the dismissed complaint.

Restoration also claims the moving papers contain no itemized billing statements, invoices, or declaration from Kerendian & Associates. (Opposition at pp. 15:10-16:2; Pritchard Decl. ¶ 17.)

Restoration Masters' assertion about not receiving billing statements, invoices, or a Kerendian declaration gives the court pause. Furthermore, the Reply does not address Restoration's assertion or present proofs of service indicating the Orland billing statements, Kerendian billing statements, or the Kerendian declaration were served on Restoration Masters.

This suggests, Restoration Masters has not had a full opportunity to address specific billing entries in the billing statements presented to the court.

As such, the court continues this motion and orders Mr. Amihere to serve the full Orland declaration and supporting exhibits and Kerendian declaration and supporting exhibits on Restoration Masters within five days of the issuing of this order.

If Mr. Amihere has already served these documents on Restoration Masters, he must file proof that service was effectuated.

CONCLUSION and ORDER

Motion for attorney fees is continued _________.

The court orders cross-complainant David Amihere to serve the full Orland declaration and supporting exhibits and Kerendian declaration and supporting exhibits on Restoration Masters within five days of the issuing of this order. If Mr. Amihere has already served these documents on Restoration Masters, he must file proofs of service within five days of the issuing of this order.

Cross-complaint David Amihere to give notice.